ANNUAL OPERATING BUDGET

Lantern Terrace | Hartford, CT

Property	Lantern Terrace
Fiscal Year	2025
Submitted By	Elmstead Asset Services
Submitted	November 10, 2023

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$277,559	$285,784	$286,140	$8,582	3.1%	$2,058.56
5010 Loss to Lease	$394,881	$417,965	$420,239	$25,359	6.4%	$3,023.30
5020 Vacancy Loss	$259,706	$243,094	$253,463	-$6,243	-2.4%	$1,823.47
5030 Concessions	$168,252	$169,537	$174,834	$6,581	3.9%	$1,257.80
5040 Bad Debt	$410,439	$432,613	$455,964	$45,525	11.1%	$3,280.32
5050 Late Fees	$34,153	$35,600	$37,388	$3,235	9.5%	$268.98
5060 Utility Reimbursements	$294,195	$311,980	$323,073	$28,878	9.8%	$2,324.26
5070 Parking Income	$372,110	$362,945	$368,417	-$3,693	-1.0%	$2,650.48
5080 Application Fees	$263,351	$252,805	$264,072	$721	0.3%	$1,899.80
5090 Pet Rent	$240,341	$224,433	$225,604	-$14,737	-6.1%	$1,623.05
5100 Laundry Income	$359,007	$361,686	$379,810	$20,803	5.8%	$2,732.45
5110 Cable/Internet Revenue	$274,443	$278,678	$295,678	$21,235	7.7%	$2,127.18
5120 CAM Reimbursements	$314,860	$330,873	$345,644	$30,784	9.8%	$2,486.65
5130 Tax Reimbursements	$278,523	$292,506	$302,212	$23,689	8.5%	$2,174.19
5140 Insurance Reimbursements	$87,610	$80,831	$86,392	-$1,218	-1.4%	$621.53
5150 Percentage Rent	$44,255	$46,095	$47,821	$3,566	8.1%	$344.03
5160 Misc. Income	$226,571	$216,093	$221,472	-$5,099	-2.3%	$1,593.32
5170 Payroll - Management	$210,587	$194,222	$206,439	-$4,147	-2.0%	$1,485.18
5180 Payroll - Leasing	$69,773	$71,994	$74,309	$4,537	6.5%	$534.60
5190 Payroll - Maintenance	$156,742	$165,437	$166,907	$10,165	6.5%	$1,200.77
5200 Payroll Taxes & Benefits	$274,812	$281,421	$292,986	$18,174	6.6%	$2,107.81
5210 Repairs - Plumbing	$84,767	$82,145	$86,517	$1,750	2.1%	$622.42
5220 Repairs - HVAC	$167,987	$160,458	$164,128	-$3,860	-2.3%	$1,180.77
5230 Repairs - Electrical	$372,931	$346,939	$359,267	-$13,664	-3.7%	$2,584.65

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$282,265	$264,963	$277,258	-$5,007	-1.8%	$1,994.66
5430 Legal & Professional	$313,607	$336,107	$354,713	$41,106	13.1%	$2,551.89
5440 Accounting & Audit	$190,127	$197,671	$208,651	$18,524	9.7%	$1,501.08
5450 Licenses & Permits	$414,912	$443,197	$448,358	$33,446	8.1%	$3,225.59
5460 Management Fee	$111,574	$105,704	$113,035	$1,461	1.3%	$813.20
5470 Property Insurance	$233,258	$251,873	$255,556	$22,298	9.6%	$1,838.53
5480 Real Estate Taxes	$419,725	$422,866	$438,760	$19,035	4.5%	$3,156.55
5490 Asset Management Fee	$237,204	$232,381	$237,125	-$80	-0.0%	$1,705.93
5500 Replacement Reserves	$361,564	$386,650	$406,821	$45,257	12.5%	$2,926.77
5510 Roof Repairs	$314,835	$309,798	$313,413	-$1,422	-0.5%	$2,254.77
5520 Parking Lot Repairs	$365,486	$370,056	$379,727	$14,241	3.9%	$2,731.85
5530 Signage	$182,486	$193,083	$193,215	$10,729	5.9%	$1,390.04
5540 Tenant Improvements	$247,968	$240,263	$251,158	$3,190	1.3%	$1,806.89
5550 Leasing Commissions	$106,554	$104,921	$106,515	-$39	-0.0%	$766.30
5000 Gross Potential Rent	$253,206	$246,689	$263,241	$10,035	4.0%	$1,893.82
5010 Loss to Lease	$151,762	$148,648	$152,327	$565	0.4%	$1,095.88
5020 Vacancy Loss	$354,764	$359,535	$375,886	$21,122	6.0%	$2,704.22
5030 Concessions	$107,672	$115,568	$121,949	$14,277	13.3%	$877.33
5040 Bad Debt	$174,718	$181,215	$187,594	$12,876	7.4%	$1,349.60
5050 Late Fees	$323,099	$321,306	$327,852	$4,753	1.5%	$2,358.65
5060 Utility Reimbursements	$35,893	$38,020	$40,179	$4,286	11.9%	$289.06
5070 Parking Income	$266,770	$250,309	$256,593	-$10,177	-3.8%	$1,845.99
5080 Application Fees	$139,255	$140,305	$147,344	$8,089	5.8%	$1,060.03
5090 Pet Rent	$96,248	$93,705	$98,167	$1,919	2.0%	$706.24
5100 Laundry Income	$74,400	$71,089	$72,758	-$1,642	-2.2%	$523.44
5110 Cable/Internet Revenue	$90,917	$94,794	$100,309	$9,392	10.3%	$721.65
5120 CAM Reimbursements	$246,458	$235,737	$237,399	-$9,059	-3.7%	$1,707.91
5130 Tax Reimbursements	$327,843	$349,505	$364,833	$36,990	11.3%	$2,624.70
5140 Insurance Reimbursements	$322,871	$322,579	$338,280	$15,410	4.8%	$2,433.67
5150 Percentage Rent	$173,523	$186,135	$191,976	$18,453	10.6%	$1,381.12
5160 Misc. Income	$254,593	$273,961	$291,077	$36,485	14.3%	$2,094.08
5170 Payroll - Management	$420,587	$453,632	$478,544	$57,957	13.8%	$3,442.76
5180 Payroll - Leasing	$406,024	$429,181	$446,430	$40,406	10.0%	$3,211.72
5190 Payroll - Maintenance	$124,551	$117,309	$118,556	-$5,995	-4.8%	$852.92
5200 Payroll Taxes & Benefits	$303,158	$298,414	$303,694	$536	0.2%	$2,184.85
5210 Repairs - Plumbing	$152,673	$143,351	$149,997	-$2,676	-1.8%	$1,079.11
5220 Repairs - HVAC	$299,946	$318,837	$339,796	$39,850	13.3%	$2,444.58
5230 Repairs - Electrical	$69,876	$65,071	$66,108	-$3,768	-5.4%	$475.60
5240 Repairs - Appliances	$165,962	$158,162	$163,613	-$2,349	-1.4%	$1,177.07
5250 Painting & Decorating	$401,409	$386,479	$402,426	$1,017	0.3%	$2,895.15
5260 Flooring	$217,313	$223,062	$223,974	$6,661	3.1%	$1,611.32
5270 Make-Ready / Turnover	$277,219	$279,961	$286,364	$9,144	3.3%	$2,060.17

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Operating Performance

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Effective gross income for the trailing period was $410,000, representing a 3.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Debt service coverage ratio was 6.84x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 7.9% annually with renewal retention above 94.4%.

Operating expenses totaled $163,000 or approximately 37.48 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.91% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.41x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Resident turnover has averaged 10.0% annually with renewal retention above 96.0%. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 90.3% of billed charges, with bad debt of 3.1% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 42 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet.

Financial Analysis

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $399,000, representing a 6.7% increase over the prior year. Resident turnover has averaged 11.3% annually with renewal retention above 88.8%. Debt service coverage ratio was 5.96x on a trailing basis against a covenant minimum of 1.20x.

Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Operating expenses totaled $77,000 or approximately 29.39 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 7.46x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Collections for the period were 95.4% of billed charges, with bad debt of 3.3% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Service requests are tracked through a work-order system with an average completion time of 30 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. Collections for the period were 90.6% of billed charges, with bad debt of 5.8% of gross potential income. Resident turnover has averaged 9.8% annually with renewal retention above 93.7%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 6.26x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. The going-in capitalization rate of 7.75% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Effective gross income for the trailing period was $331,000, representing a 10.4% increase over the prior year. Operating expenses totaled $276,000 or approximately 14.23 per square foot, with real estate taxes representing the largest line item.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$347,046	$324,571	$346,393	-$653	-0.2%	$2,492.04
5310 Pest Control	$265,131	$285,589	$288,609	$23,478	8.9%	$2,076.32
5320 Trash Removal	$238,177	$227,001	$228,194	-$9,983	-4.2%	$1,641.68
5330 Elevator Contract	$164,448	$173,525	$176,430	$11,982	7.3%	$1,269.28
5340 Fire & Life Safety	$310,414	$319,867	$324,389	$13,975	4.5%	$2,333.73
5350 Security	$84,200	$77,978	$80,037	-$4,163	-4.9%	$575.81
5360 Electricity - Common	$308,517	$314,030	$314,236	$5,719	1.9%	$2,260.69
5370 Gas - Common	$54,048	$52,458	$55,977	$1,930	3.6%	$402.72
5380 Water & Sewer	$275,238	$260,332	$263,702	-$11,537	-4.2%	$1,897.13
5390 Telephone/Internet	$382,442	$362,436	$384,806	$2,364	0.6%	$2,768.39
5400 Advertising	$416,388	$424,367	$432,987	$16,600	4.0%	$3,115.02
5410 Resident Events	$391,345	$408,849	$414,470	$23,126	5.9%	$2,981.80
5420 Office Supplies	$68,276	$72,038	$73,677	$5,401	7.9%	$530.05
5430 Legal & Professional	$289,786	$268,878	$280,019	-$9,768	-3.4%	$2,014.52
5440 Accounting & Audit	$392,628	$362,810	$386,839	-$5,789	-1.5%	$2,783.02
5450 Licenses & Permits	$283,462	$264,850	$266,254	-$17,208	-6.1%	$1,915.49
5460 Management Fee	$299,551	$308,994	$322,819	$23,268	7.8%	$2,322.44
5470 Property Insurance	$128,853	$135,808	$140,003	$11,150	8.7%	$1,007.22
5480 Real Estate Taxes	$242,997	$253,051	$253,661	$10,665	4.4%	$1,824.90
5490 Asset Management Fee	$344,128	$350,891	$353,289	$9,162	2.7%	$2,541.65
5500 Replacement Reserves	$310,171	$334,971	$339,800	$29,630	9.6%	$2,444.61
5510 Roof Repairs	$232,237	$224,098	$228,747	-$3,490	-1.5%	$1,645.66
5520 Parking Lot Repairs	$243,509	$232,448	$241,472	-$2,037	-0.8%	$1,737.21
5530 Signage	$194,845	$208,294	$219,413	$24,568	12.6%	$1,578.51
5540 Tenant Improvements	$246,235	$261,047	$269,718	$23,484	9.5%	$1,940.42
5550 Leasing Commissions	$20,358	$19,170	$19,656	-$702	-3.4%	$141.41
5000 Gross Potential Rent	$215,492	$205,250	$217,304	$1,812	0.8%	$1,563.34
5010 Loss to Lease	$395,819	$396,148	$419,623	$23,804	6.0%	$3,018.87
5020 Vacancy Loss	$164,033	$156,418	$164,834	$801	0.5%	$1,185.86
5030 Concessions	$182,993	$178,178	$186,168	$3,174	1.7%	$1,339.34
5040 Bad Debt	$96,662	$93,131	$94,348	-$2,314	-2.4%	$678.76
5050 Late Fees	$24,480	$23,238	$23,370	-$1,110	-4.5%	$168.13
5060 Utility Reimbursements	$115,280	$123,742	$126,952	$11,672	10.1%	$913.32
5070 Parking Income	$162,423	$155,859	$161,303	-$1,120	-0.7%	$1,160.45
5080 Application Fees	$356,703	$356,375	$367,861	$11,158	3.1%	$2,646.48
5090 Pet Rent	$377,973	$369,249	$383,898	$5,925	1.6%	$2,761.85
5100 Laundry Income	$179,050	$190,366	$196,572	$17,522	9.8%	$1,414.19
5110 Cable/Internet Revenue	$394,971	$378,178	$388,362	-$6,608	-1.7%	$2,793.97
5120 CAM Reimbursements	$124,817	$127,667	$130,352	$5,536	4.4%	$937.79
5130 Tax Reimbursements	$223,128	$216,513	$224,767	$1,639	0.7%	$1,617.03
5140 Insurance Reimbursements	$287,569	$298,781	$301,694	$14,126	4.9%	$2,170.46
5150 Percentage Rent	$26,593	$28,669	$29,575	$2,982	11.2%	$212.77
5160 Misc. Income	$303,560	$288,474	$302,244	-$1,317	-0.4%	$2,174.41

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Summary and Notes

Operating Performance

Effective gross income for the trailing period was $324,000, representing a 4.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.87x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $19,000 or approximately 32.40 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Resident turnover has averaged 3.1% annually with renewal retention above 90.7%. The going-in capitalization rate of 6.42% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $180,000, representing a 2.3% increase over the prior year.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Collections for the period were 89.7% of billed charges, with bad debt of 4.5% of gross potential income.

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 13.9% annually with renewal retention above 92.1%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members.

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